JBIC

THE JAPANESE CHAMBER OF COMMERCE & INDUSTRY

6th November, 2020

Respectfully to: Government of the Socialist Republic of Vietnam

Attn: H.E. Nguyen Chi Dung - Minister of Planning and Investment

C/c: H.E. Mai Tien Dung - Minister, Chairman of the Office of the Government

H.E. Dinh Tien Dung - Minister of Finance

H.E. Le Thanh Long - Minister of Justice

H.E. Vu Tien Loc - President of the Vietnam Chamber of Commerce and Industry (VCCI)

Re: Comments on the draft version of the decrees guiding the implementation of some articles of and the selection of investors of the Law on Public-Private Partnership Investment

Your Excellency,

First of all, we, the Japanese Chamber of Commerce and Industry in Vietnam ("JCCI"), and the Japan Bank for International Cooperation ("JBIC"), appreciate Your Excellency's kind attention to the discussion between His Excellency, Mr. Nguyen Xuan Phuc, Prime Minister of Vietnam, and our Prime Minister Mr. Suga at the Bilateral Summit Meeting on October 19, 2020, when Mr. Suga expressed his strong expectation that the new Law No. 64/2020/QH14 on Public-Private Partnership Investment ("PPP Law") would be properly and adequately put in force.

The introduction of the PPP Law is a positive milestone for PPP policy in Vietnam, demonstrating Vietnam's commitment to PPP development and bringing its PPP framework up to international and bankable standards. We understand that, as an immediate next step, the Ministry of Planning and Investment ("MPI"), the Ministry of Finance ("MOF"), the Ministry of Justice ("MOJ") and other relevant agencies will co-ordinate to articulate the new policy and make it effective. On October 18, 2020 VCCI shared with JCCI the English translation of (i) a draft of the decree detailing the implementation of some articles of the PPP Law ("Guideline Decree") and (ii) a draft of the decree detailing and guiding the implementation of some articles of the PPP Law regarding investor selection ("Investor Selection Degree") for public and official comments (collectively referred to as "Decrees").

Taking advantage of this chance and further to our previous comments, which we have attached to this letter for your ease of reference, we would like to contribute to the successful establishment of an international and bankable PPP market in Vietnam. We have been honored to work closely with MPI during the PPP Law drafting process and would like to consistently share our comments for consideration by Your Excellency.

Referring to the subjected Decrees already drafted, we believe it is desirable that the Decrees be issued in a form that practically supplements the PPP Law so that foreign investors and foreign financial institutions can invest in and provide financing for the PPP projects in Vietnam with confidence. Specifically, among others, we would like to draw the attention of Your Excellency to the five (5) important issues below.

1. Early Termination

1.1 Early Termination Triggering Events

We take note that the comments of the Japanese Working Team ("WT") dated August 31, 2020 about events triggering early termination of a project contract had been somewhat taken into consideration in the Guideline Decree. However, we found there are still some gaps between our comments and the Guideline Decree. Please refer to the Gap Findings between the comments and the Guideline Decree attached hereto for further details. Accordingly, we make particular note of the current Guideline Decree draft being unclear to whether the default of Vietnamese state agencies other than the PPP contract signing agency (such as an SOE being an off-taker or fuel-supplier for a BOT power project), for instance, is permitted to be a trigger for early termination of the PPP contract, and the legal implications of treatment thereof. Your Excellency's further consideration to elaborate these contents in the Guideline Decree is highly appreciated.

1.2 Termination Payment

As for the scope of termination payment, in connection with 1.1 above, we would like to ensure that it covers early termination triggered, for instance, by: i) prolonged force majeure, ii) default of Vietnamese state agencies other than PPP contract signing agencies, and iii) change in law, permits, authorization and approvals. Regarding the calculation method of termination payments, although the calculation "guide" is shown in the Guideline Decree, it is understood that it is basically left to the agreement between the parties. It is hoped that the Vietnamese government shall handle these issues based on the practices of financial institutions and the investors in the past, as well as the

international practices in this area.

2. Governing law

We refer to Article 27.1 of Appendix IV (Provisions on PPP contract) of the Guideline Decree, which stipulates that "Article 55 of the PPP Law stipulates that the governing law is the Vietnamese Law. For issues that Vietnamese law does not prohibit or regulate, the parties have the right to agree in the content contract." In the meantime, we still expect, as per the comments of the Japanese WT dated August 31, 2020 and the Gap Findings, flexibility of application of foreign law to the PPP project, as it was flexibly allowed to apply in the past as the governing law to a BOT contract in cases of disputes about the application or interpretation of the BOT contract. Similar flexibility should continue to be permissible in the future.

3. Step-in-rights

Step-in rights for lenders are understood as the security enforcement rights of lenders to step into the project to cure defaults and some issues, or sometimes replace investors (through coordination with the contract signing agency), without terminating the PPP contract. As the project contracts and rights thereunder act as the fundamental security for project finance lenders to PPP projects, PPP Law and relevant decrees are expected not to limit the exercise of such step-in rights in accordance with the PPP contract.

4. Transitional Provisions

We provided a request to MPI on October 2, 2020, as attached hereto for your ease of reference, to specify the same condition that "The project contracts that are initialed or investment agreements that are signed before the effective day of this Decree shall not be re-negotiated," as is found Article 76.4 (Transitional provisions) of Decree of the Government on Investment in the form of Public-Private Partnership no.63/2018/ND-CP dated May 4, 2018, in the Guideline Decree as guidance to Article 101 (Transitional provisions) of the PPP Law. In the meantime, Article 44 (Guidance for transitional provisions in Law on PPP) of the Guideline Degree does not stipulate the said conditions as mentioned in the Gap Findings. Accordingly, we would like Your Excellency to consider specifying the same conditions in the Guideline Decree.

The reason for this addition is that we are concerned about cases where the project has reached the stage where the investor has been approved and selected, and a basic agreement on the terms and conditions of the project contract between the investor and the Vietnamese government (the competent agency, the contracting authority, and so on) has been reached, before the effective date of the PPP Law. In such case, if the

contract negotiations and conclusion happen after the effective date of the PPP Law, the contractual conditions provided to an investor may be drastically changed from the basic agreement, e.g. no GGU guarantees provided (Article 48 of PPP Law), contract termination compensation is not clearly stipulated (Article 52 of PPP Law), assignment of shares of the project company to other investors is only allowed after the completion of construction (Article 54 of PPP Law), the governing law is Vietnamese law (Article 55 of PPP Law), and the guarantee of the foreign currency exchange is capped at 30% (Article 81 of PPP Law). Consequently, such changes may negatively affect the bankability of the project, especially if an investor is negotiating the project finance with lenders.

5. The Law of the Sea

As it is foreseen in the near future that there will be great demand for developing liquefied natural gas (LNG) receiving terminals combined with a power plant or offshore wind power plant in the form of PPPs, it is crucial for the esteemed Government to provide clear guideline on the assessment of the sea area and the rights of quality foreign investors against the sea area.

Besides the above five (5) issues, we sincerely recognize that the following, but not limited to the following, three (3) points are also main key issues. We assume these three (3) points may be further detailed in another draft of the Decree as finance management for PPP projects being let by MOF. In this regard, we would greatly appreciate it if Your Excellency considers those in improving the PPP legislation, including other PPP-related Decrees and Circulars. We would like to continue to utilize the Vietnam-Japan Joint Initiative and other opportunities to make Vietnam's PPP legislation more attractive, implementable and bankable for high-quality foreign investors.

- Government Guarantee for performance undertaking (for performance obligations of Vietnamese state investigation under project related contracts) / Contract Performance Guarantee;
- Currency Convertibility and Remittance Guarantee; and
- Revenue Sharing.

Given that the Decree on finance management for PPP projects drafted by MOF has not been reviewed yet, we hope that the proposal outlined above will be considered, accepted and reflected, if appropriate, in such coming Decree.

We greatly appreciate the kind attention of Your Excellency and Your Excellency's consideration of our proposal. We are always willing to cooperate further with the relevant governmental agencies in achieving the proper operation of the PPP Law and are ready to have discussions in details with Your Excellency.

Yours faithfully,

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The Japanese Chamber of Commerce and Industry in Vietnam, and
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Enclosure:

1. Gap Findings between comments of Japanese WT and the Guideline Decree
2. Letters dated August 31, 2020
3. Comments on Article 101 of the PPP Law and Clause 4, Article 76 of Decree no.63/2018/ND-CP dated May 4, 2018